

FORM TP 2009133



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**CARIBBEAN EXAMINATIONS COUNCIL
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ACCOUNTING

UNIT 2 – PAPER 02

$2\frac{3}{4}$ hours

02 JUNE 2009 (p.m.)

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C.E.S.E.C.

- 1.. This paper consists of THREE questions.
2. Each question is worth 35 marks.
3. ALL questions are COMPULSORY.
4. Begin EACH answer on a new page.
5. Silent non-programmable calculators may be used, but ALL necessary working should be clearly shown.



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02201020/CAPE 2009

1. (a) A manufacturing company incurred the following costs during 2008:

1. Salaries of the accountant and finance staff
2. Depreciation on the salesperson's car
3. Rent on equipment used in the factory
4. Salaries of personnel working in the finished goods warehouse
5. Soap and paper towels used by workers at the end of a shift
6. Heat, water and power consumed in the factory
7. Advertising outlays
8. Workers' compensation insurance on factory employees
9. Depreciation on chairs and tables in the factory lunchroom
10. The salary of the switchboard operator
11. Rent on rooms at a resort for the annual sales conference

Classify EACH cost item as being EITHER a **product** (inventoriable) cost OR a **period** (non-inventoriable) cost.

Prepare your response using the format below. The first item has been completed as an example.

Cost item	Product	Period
1		X

[5 marks]

(b) Ajani Water Sports Company began buying and selling surfboards on January 01, 2008. Purchases of surfboards during the year were as follows:

Month	Units	Unit cost \$	Total cost \$
January	10	150	1 500
February	20	155	3 100
March	55	160	8 800
November	5	200	1 000
December	10	240	2 400
Total	100		16 800

Forty surfboards remained in inventory on December 31, 2008. The company's average selling price during the year was \$320 per surfboard.

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Ajani Water Sports Company uses a periodic inventory system.

- (i) Calculate ending inventory, cost of goods sold and gross profit under EACH of the following inventory valuation methods:

a) First-in-First-out (FIFO) [5 marks]

b) Last-in-First-out (LIFO) [5 marks]

c) Weighted average [4 marks]

- (ii) Indicate which of the above is the MOST appropriate inventory valuation method if management's goal is to produce the most "up-to-date" inventory valuation on the Balance Sheet. [1 mark]

- (c) Marwick Company recorded the following data for 2008:

Sales	\$620 000
Raw materials purchased	72 000
Selling and administrative expenses	96 000
Direct labour	118 000
Beginning raw materials inventory	18 000
Ending raw materials inventory	15 000
Plant depreciation	112 000
Plant utilities	6 500
Indirect labour	8 800
Insurance – plant	3 000
Beginning work in process inventory	57 000
Ending work in process inventory	59 000
Beginning finished goods inventory	25 000
Ending finished goods inventory	22 000
Maintenance – plant	4 700

- (i) Prepare a Cost of Goods Manufactured Statement for 2008. [10 marks]

- (ii) Prepare an Income Statement for 2008. [5 marks]

Total 35 marks

2. (a) Dominica Company manufactures and sells a single product. Cost data for the product are given below:

Variable cost per unit:	\$
Direct materials	7
Direct labour	10
Variable manufacturing overhead	5
Variable selling and administrative	<u>3</u>
Total variable cost per unit	<u>25</u>
Fixed cost per month:	
Manufacturing overhead	315 000
Selling and administrative	<u>245 000</u>
Total fixed cost per month	<u>560 000</u>

The product is sold at \$60 per unit. Beginning inventory for finished goods was 2 500 units. Production and sales data for August are as follow:

Units produced	Units sold
17 500	20 000

The company's accounting department has prepared the following income statement for August using absorption costing:

	August 2008
Sales	<u>\$1 200 000</u>
Less cost of goods sold:	
Opening inventory	100 000
Add cost of goods manufactured	<u>700 000</u>
Goods available for sale	800 000
Less ending inventory	<u>—0—</u>
Cost of goods sold	800 000
Gross margin	400 000
Less selling and administrative expenses	<u>305 000</u>
Net income	<u>\$ 95 000</u>

- (i) Determine the cost of a single unit of the product under EACH of the following:
- Absorption costing
 - Variable costing
- [4 marks]

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- (ii) Prepare an Income Statement for August using the contribution format and variable costing. [8 marks]
 - (iii) Reconcile the variable costing net income figures computed in (ii) above and the absorption cost net income figure provided. [2 marks]
 - (iv) Briefly explain the MAIN difference between variable costing and absorption costing in terms of the treatment of costs in the financial statements. [2 marks]
 - (v) Indicate the primary purposes for which variable costing and absorption costing are used. [2 marks]
 - (vi) Explain why the variable costing income measurement approach would be attractive to a manager who is interested in projecting her firm's future profit performance. [2 marks]
- (b) St. Michael Company manufactures a product that requires inputs from several departments prior to completion. The mixing department is the first department in the production process. On completion of the mixing process, the units are transferred to the moulding department.

The following information is available on work in the mixing department for June 2008:

	Units	Percentage completed	
		Materials	Conversion
Work in process, June 01	20 000	100	75
Started into production	180 000		
Completed and transferred out	160 000		
Work in process, June 30	40 000	100	25

Cost in the beginning work-in-process inventory and cost added during June were as follows:

	Materials	Conversion
	\$	\$
Work in process, June 01	\$ 25 200	\$ 24 800
Cost added during June	\$334 800	\$238 700

The company uses the weighted-average method to compute unit costs.

Prepare a production report for the mixing department for June 2008. [15 marks]

Total 35 marks

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3. (a) Castries Co-operative Limited manufactures wooden bookends for office and home use. Wood is cut, shaped and processed into the completed product. The wood is inspected for defects just prior to completion of the bookends and before felt pads are attached to the base of the product to prevent scratches on furniture.

The following information is available:

1. One hundred and four pairs of bookends must be processed for every 100 satisfactory pairs produced.
2. Each pair of bookends requires 2.5 metres of lumber at \$1.40 per metre.
3. Each pair of bookends has 4 felt pads on its base. During the past year, when 15 000 pairs of bookends were manufactured, the total cost for pads amounted to \$3 600. The management of Castries Co-operative Limited was recently informed by the felt supplier that there would be a price increase of \$0.01 per pad.
4. All direct labourers are paid \$12 per hour. Expected labour times for a pair of bookends are:

Cutting, shaping and processing	15 minutes
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Finishing (attaching felt pads and polishing)	1 minute
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5. Actual packaging costs recently totalled \$0.32 per pair of bookends, which was \$0.02 higher than the standard cost. As a result of a change to a sturdier, more attractive box, the standard packaging cost will be increased by 10 per cent.
 - (i) Calculate the total standard cost of materials (including packaging) for a pair of bookends.

[7 marks]
 - (ii) List TWO parties that would typically participate in the development of material standards.

[2 marks]
 - (iii) For any ONE of the parties listed in (ii) above, indicate their role in the development of material standards.

[1 mark]

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- (b) Belize Laboratories Incorporated (BLI) produces various chemical compounds for industrial use. One compound, Right Lube, is prepared by an elaborate distilling process. The company has developed standard costs for one unit of Right Lube as follows:

	Standard quantity	Standard price or rate	Standard cost
Direct materials	2.5 ounces	\$20.00 per ounce	\$50.00
Direct labour	1.4 hours	12.50 per hour	17.50
Variable overhead	1.4 hours	3.50 per hour	4.90
			\$72.40

During November 2008, the following activities were recorded by the company relative to the production of Right Lube:

1. Twelve thousand ounces of materials were purchased at a cost of \$225 000.
2. There was no beginning inventory of materials on hand to start the month; at the end of the month 2 500 ounces of materials remained in the warehouse unused.
3. The company employs 35 laboratory technicians to work on the production of Right Lube. During November, each lab technician worked an average of 160 hours at an average rate of \$12 per hour.
4. Variable overhead is assigned to Right Lube on a basis of direct labour-hours. Variable overhead costs during November totalled \$18 200.
5. During November, 3 750 acceptable units of Right Lube were produced.

BLI's management is anxious to determine the efficiency of the activities involved in the production of Right Lube.

- (i) Compute the price and efficiency variances of the materials used in the production of Right Lube. [5 marks]
- (ii) The materials were purchased from a new supplier who is anxious to enter into a long-term purchase contract. Would you recommend that the company sign the contract? Support your response with an appropriate explanation. [2 marks]
- (iii) Compute the rate and efficiency variances for direct labour employed in the production of Right Lube. [6 marks]
- (iv) In the past, the 35 technicians employed in the production of Right Lube consisted of 20 senior technicians and 15 assistants. During November, the company experimented in order to save costs and used only 15 senior technicians and 20 assistants. Would you recommend that the new labour mix be continued? Support your response with an appropriate explanation. [2 marks]

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- (c) Negril's Confectionery Company is the exclusive wholesale distributor of a brand of gourmet chocolate. The company's president is developing his firm's financial strategy for the coming year. He has accumulated the following data regarding next year's operations:

Expected annual sales volume	500 000 boxes
Selling price per box	\$6.40
Fixed costs	\$844 800
Variable costs:	
Cost of chocolate	\$3.20 per box
Selling and administrative	\$0.64 per box

- (i) What is the current contribution margin per box of gourmet chocolate. [1 mark]
- (ii) Compute the current break-even point, in dollars, before the cost increase. [3 marks]
- (iii) Compute the company's expected net income for next year. [4 marks]
- (iv) After accumulating the above data, the president was informed that in the coming year the manufacturers of the gourmet chocolate planned to increase the cost per box by 20 per cent. This increase was the result of an increase in the cost of sugar. Assume that the cost of the chocolate increased by 20 per cent. Calculate the new selling price if the company wants to maintain the current contribution margin rate. [2 marks]

Total 35 marks

END OF TEST